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“**AAP SIRF BANK** ke sales target mein dhyaan dijiye (You just focus on the bank’s sales target). Don’t worry about the rest. Your defaulted money, which has been stuck for six months, will be released within six days.” That’s the reassurance from Mumbai-based Good Luck Recovery Agency to banks saddled with bad loans. Inside its ramshackle office, housed in Firdaus Apartment in the Bhendi Bazaar area of south Mumbai, half a dozen agents dressed casually are negotiating, pressurising and threatening defaulting customers. At one table, a nervous couple is seen engrossed in a conversation. At another, a bearded man in his early 40s almost holds a defaulter by the neck, threatening to choke him to death. “My money should come within two days,” screams another 30-something in a red T-shirt with the looks of a bouncer. “Don’t show me the papers!” yells another agent to a middle-aged borrower who is pleading with folded hands. There is madness at the Good Luck office, which specialises in the recovery of personal loans and credit cards.

Sounds familiar? Could be. After all, this is actually a scene from the 2008 Hindi movie *EMI: Liya Hai To Chukana Padega*, in which Sanjay Dutt plays a local goon who makes it big by running a recovery business. It was but a reflection of what was happening in real life in the 2000s. Private banks would appoint recovery agencies to ‘persuade’ loan defaulters to return their money. The agencies, in turn, would appoint people like musclemen, eunuchs and others to do the job. Terrorised and, sometimes, physically harmed, several borrowers even committed suicide. This was despite a fair practices code for banks and agents being in place. India’s banking regulator, the Reserve Bank of India (RBI) then stepped in, and introduced over half a dozen borrower-friendly measures—police verification of agents, giving borrowers the details of recovery agencies, even recording calls.

Have these helped? Not really. A decade and a half after Dutt’s film, the reality on the ground still mirrors the movie scene, sometimes worse. An outsourced recovery agent of rural-focussed Mahindra Finance, a non-bank finance company (NBFC), mowed down the pregnant daughter of a

A SORRY STATE OF AFFAIRS

What the *BT* investigation reveals



► Most recovery agencies (RAs) are sole proprietorships with no training setup, and have a hand-to-mouth existence. Players can enter and exit at will, and the space has a high mortality rate



► The problem is worse in the NBFC space. The RBI recently uncovered gaps in the process to empanel repossession agencies at a large NBFC. This problem is common at many smaller NBFCs



► A large untrained force of recovery agents solely catering to NBFCs operates in the space. Finally, in August last year, the RBI mandated compulsory training and certification to appoint recovery agents in the NBFC sector



► Another common practice is some private banks neglecting training requirements for recovery agents; they also fail to conduct pre-employment police verification for recovery agents



► Training institutes for RAs often have ramshackle infrastructure, imparting critical guidance like soft skills and negotiations skills via online classes; there are also instances of institutes outsourcing the training work; the course material is also stuck in the past



► There is a lack of board-level policies at banks and NBFCs on the appointment of recovery agents, which lacks standardisation; at PSBs, regional and zonal offices and branches take most calls



► No centralised database of terminated or blacklisted agents/agencies; many blacklisted agencies working with other banks